

an initial focus on Karnataka.

Shetty's vision is to provide health coverage of up to ₹10 lakh for surgical treatment and ₹5 lakh for medical treatment at an annual premium of just ₹10,000.

TRAINING THE NEXT GEN

Another key challenge in Indian healthcare is the severe shortage of trained professionals. Here too Narayana took the bootstrap approach, building its own training system.

"We are one of the largest institutions transforming MBBS doctors into specialists," says Shetty. Narayana Health trains cardiac surgeons, cardiologists, anaesthetists, and intensivists. The group also runs nursing and paramedical colleges.

Despite Narayana Health's progress, Shetty warns of a growing challenge: India's dependence on imported medical equipment. "The rupee is depreciating at a rapid pace. Today, we spend much more than American or European hospitals on buying CT scanners, MRIs, implants, and disposables," he says. This is unsustainable, and he believes India must focus on indigenising medical technology. Narayana Health is now collaborating with Indian start-ups and manufacturers to develop homegrown medical equipment.

The group is expanding overseas as well, particularly in the Caribbean, where it already operates. "We are predominantly looking at the Caribbean region, and we may consider other countries in the future," says Dr. Shetty. The aim is to take Narayana Health's affordable care model global, proving that quality healthcare need not come at a prohibitive cost.

STRONG FOUNDATION

Narayana Health's expansion plans are underpinned by its strong financial performance. In financial year 2023-24, Narayana Health achieved its highest-ever revenue and profitability margins. Its consolidated revenue

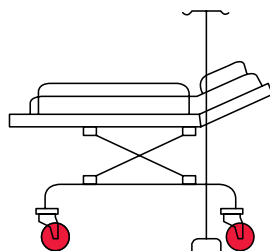
IMPROVING HEALTHCARE

01 **Dr. Devi Shetty has sought to offer affordable care at Narayana Health by cutting costs without compromising on quality**

02 **From one hospital in 2000, it has grown into a big chain that has embraced digital healthcare, and AI**

03 **In 2024, it became India's first hospital group to launch its own insurance coverage**

04 **With ₹5,018 crore revenue in FY24, the group is expanding in India and abroad**



stood at ₹5,018 crore, a 10.9% year-on-year increase. Earnings before interest, tax, depreciation, and amortisation reached ₹1,228 crore, with a 24.5% margin, while profit after tax stood at ₹790 crore, reflecting a 15.7% margin.

Analysts are upbeat about the company's prospects. "The greater maturity mix in hospitals, steady performance of its flagship hospitals in India, and better profitability at new hospitals solidified the company's position," says a note by Himanshu Binani, Research Analyst, and Rohan Shukla, Research Associate, Anand Rathi Share and Stock Brokers Ltd. "The management iterated its capex plans and commitment to growing output in the next three-four years via de-bottlenecking and a better bed mix. Ahead, the company intends to add around 1,435 beds (greenfield and brownfield) in Bengaluru, Kolkata and Raipur," they add.

Narayana Health has invested ₹2,000 crore over the last three years, including ₹900 crore in FY24, across India and the Cayman Islands. The company has also acquired land parcels in Bengaluru and Kolkata for greenfield expansion, with plans to develop over one million square feet of healthcare infrastructure in the next three-four years.

In recent years, Narayana Health has undertaken several strategic initiatives to expand its healthcare services and technological capabilities. In October 2023, its subsidiaries, ATHMA and Medha Analytics, partnered with ClearMedi Healthcare to implement advanced healthcare information systems and business intelligence analytics, aimed at improving patient care and operational efficiency.

Shetty insists that the work is far from over. "What we have done so far is nothing compared to what we can and should do," he says. His ultimate vision is for India to show the world how to dissociate healthcare from wealth. **BT**

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